

# Inferring Retail Demand from Pricing Behavior

*Using behavioral pricing signals to enable smarter promotions*

## The Challenge

Retailers adjust prices frequently but often lack real-time demand visibility. This leads to **blanket discounting, margin erosion, and ineffective promotions**

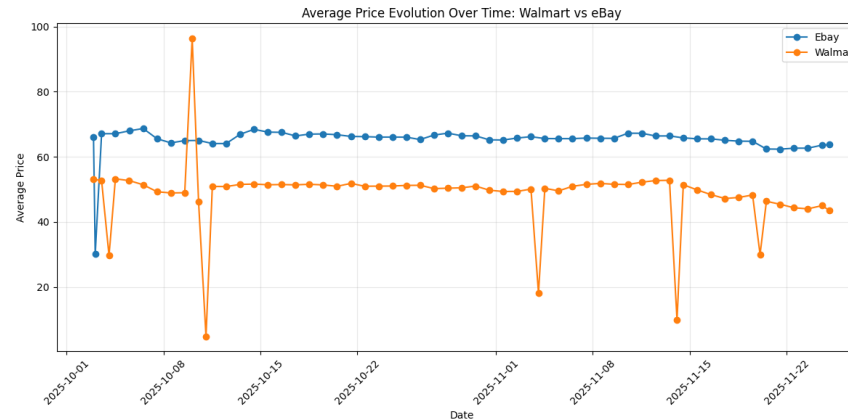


*Pricing position relative to MSRP correlates with inferred demand strength.*

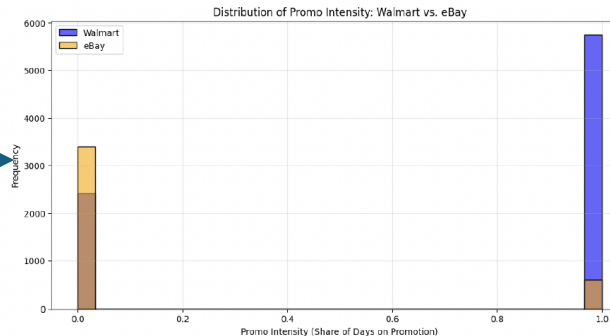
Pricing patterns reveal retailer strategy and demand positioning.

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## Pricing behavior reflects underlying demand conditions — even without sales data



*Retailers exhibit distinct pricing identities visible through pricing behavior.*

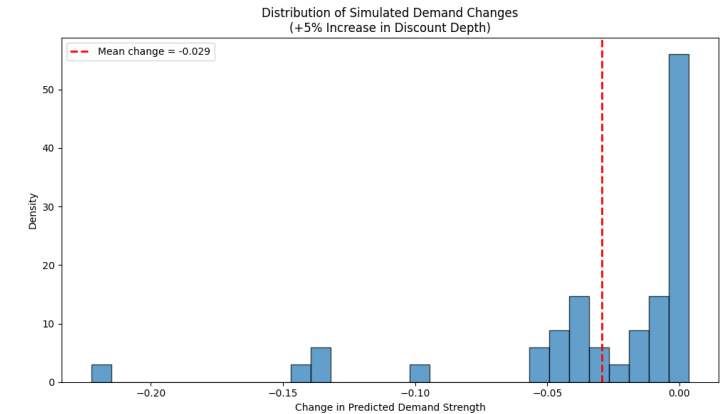


## Prescriptive Simulations

“What if” pricing scenarios were tested before execution.

Results show:

- Some SKUs benefit from discounts
- Others lose demand
- **Uniform promotions are risky**



*Discounting produces mixed outcomes across SKUs.*

## Recommendations

- ✓ **Segment** SKUs by discount sensitivity
- ✓ **Avoid** blanket promotions
- ✓ **Protect** margins on high-demand SKUs